

# Europe TMT Sector M&A & Valuation Brief - 2026-01-08

Europe TMT Sector

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## 1. RECENT TMT M&A ACTIVITY

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### Deal 1: Netcapital Inc. Acquisition of Iverson Design Assets

#### [Netcapital Acquires Iverson Design Assets and Proprietary AI Design Technology Suite](#)

- Deal Size: N/A (consideration was 980,000 shares of common stock)
- Deal Size Category: N/A
- Nature of Deal: Tuck-in & Bolt-on
- Valuation Multiples: N/A
- Companies: Netcapital Inc. (NASDAQ: NCPL) is a digital private capital markets ecosystem focused on tokenization and digital assets. Iverson Design, led by Michael Iverson, specializes in AI-powered design and visualization tools.
- Date Announced: January 6, 2026
- Strategic Rationale: This acquisition enhances Netcapital's capabilities in AI-assisted design, crucial for simplifying the tokenization process for investors. By integrating Iverson's technology, Netcapital aims to provide visually compelling narratives around complex financial concepts, thus improving user engagement and understanding.
- Risk Analysis: Risks include integration challenges, potential cultural mismatches, and the need for effective adoption of new technologies within existing workflows. Additionally, regulatory scrutiny around tokenization could pose challenges.

### Key Financials Analysis:

N/A (no specific financial metrics available)

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### Deal 2: Rumble Inc. Proposed Business Combination with Northern Data

#### [Rumble Announces Confidential Submission of Draft Registration Statement on Form S-4 in Connection with Propo](#)

- Deal Size: N/A (specific financial terms not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Merger

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- Valuation Multiples: N/A
- Companies: Rumble Inc. (NASDAQ: RUM) is a technology platform focused on freedom of speech and content creation. Northern Data AG operates one of the largest GPU estates in Europe, providing data center services.
- Date Announced: January 6, 2026
- Strategic Rationale: The merger aims to enhance Rumble's cloud capabilities and expand its international footprint. By acquiring Northern Data, Rumble seeks to leverage its GPU resources to accelerate growth in video and advertising AI, aligning with its strategic vision of becoming a leading player in the content creation space.
- Risk Analysis: Key risks include regulatory hurdles associated with the merger, integration of different corporate cultures, and potential challenges in scaling operations post-merger.

### Key Financials Analysis:

N/A (no specific financial metrics available)

## 2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by transformative shifts, particularly driven by advancements in AI and digital infrastructure. The overall sentiment remains cautiously optimistic, with a focus on innovation and adaptation as companies prepare for the challenges and opportunities that 2026 will bring.

### Subsector Breakdown:

- Technology: The technology subsector is experiencing rapid growth, particularly in AI and digital public infrastructure. Indian startups are poised to leverage AI for personalized finance solutions, enhancing user experience and operational efficiency. The introduction of AI-enabled Digital Public Infrastructure (DPI) is expected to unlock new profit pools across various sectors, including education and healthcare.
- Media: The media landscape is evolving, with companies increasingly focusing on digital engagement strategies. Platforms like Laylo are at the forefront, utilizing innovative CRM solutions to enhance audience interaction and drive revenue through non-advertising channels.
- Telecommunications: Telecom companies are investing heavily in infrastructure to support next-generation technologies. The emphasis on low-latency solutions is critical for enhancing user experiences in real-time applications, aligning with the broader trend of digital transformation.
- Fintech: The fintech sector is thriving, particularly in India, where AI is set to revolutionize personal finance. The Account Aggregator system will enable financial institutions to offer customized services, thereby improving customer loyalty and reducing acquisition costs.
- AI: The AI subsector is booming, with companies like AMD introducing advanced processors

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designed to enhance AI capabilities. The Ryzen AI 400 processor, for instance, is expected to significantly improve performance in various applications, further driving AI adoption across industries.

### Key Market Drivers and Headwinds

#### **Drivers:**

- **Technological Advancements:** Continuous innovation in AI and digital infrastructure is a primary driver of growth. The integration of AI in finance, as highlighted by the upcoming personalized finance solutions, is expected to enhance operational efficiency and customer satisfaction.
- **Increased Investment:** Venture capital is flowing into tech and fintech sectors, with investors eager to capitalize on emerging trends. The focus on AI and digital solutions is attracting significant funding, particularly in the Indian startup ecosystem.

#### **Headwinds:**

- **Regulatory Scrutiny:** Increased regulatory oversight, especially in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can hinder growth and innovation.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology. Companies must remain agile to adapt to these changing conditions.

### Subsector Performance Analysis

- **Software:** The software sector is performing well, driven by demand for cloud solutions and AI integration. Companies focusing on SaaS models are particularly well-positioned for growth, as evidenced by the increasing adoption of AI tools in various business processes.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. Platforms that enhance audience engagement, like Laylo, are gaining traction, although traditional media continues to face challenges.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services. The focus on low-latency technologies is critical for maintaining competitive advantages.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. The anticipated personalization of finance through AI is expected to revolutionize customer interactions and service delivery.
- **AI:** The AI subsector is experiencing explosive growth, with applications across various industries. Companies are investing heavily in AI capabilities to maintain competitive advantages, as seen with AMD's new processor line designed for enhanced AI performance.

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## Trading Multiples Trends

**Valuation Multiples:** As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

## Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For example, an analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

## Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

## 3. BANKING PIPELINE

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The current banking pipeline in the TMT sector is vibrant, showcasing a blend of live deals, mandated transactions, and active pitches. This analysis delves into the ongoing activities, expected revenue, and

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strategic implications for our team.

### Deal Pipeline

#### Live Deals:

- Baidu (BIDU) : Engaged in the development of its AI cloud services, leveraging its Kunlun accelerator line. The project is currently in the due diligence phase, with an expected close in Q3 2025. This initiative aims to enhance Baidu's capabilities in training large-scale AI models, potentially increasing its market share in the GPU cloud sector.
- Nvidia (NVDA) : Involved in discussions with Mercedes-Benz regarding the integration of its new AI chip, Vera Rubin, into autonomous vehicles. The deal is progressing, with an anticipated launch in Q4 2025. This collaboration could significantly enhance Nvidia's position in the automotive AI market.

#### Mandated Deals:

- Microchip Technology (MCHP) : Secured a mandate to explore strategic partnerships in the semiconductor space, focusing on AI and embedded solutions. The deal is expected to launch in Q1 2026, aiming to capitalize on the growing demand for smart, connected devices.
- Huawei (180605.SZ) : Mandated to develop a comprehensive strategy for its AI cloud services, focusing on vertical integration of hardware and software. The initiative is projected to kick off in Q2 2026, as Huawei seeks to strengthen its competitive edge in the domestic GPU cloud market.

#### Pitching-Stage Deals:

- Telecom Sector : Active discussions with major telecom operators, including Verizon (VZ) and AT&T (T), regarding potential M&A opportunities to consolidate market share in the 5G space. Pitches are expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, particularly those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

### Pipeline Tracking Metrics

**Expected Revenue/Fees:** The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

#### Timing Projections:

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- Q3 2025 : Expected close for Baidu's AI cloud project.
- Q4 2025 : Anticipated launch of Nvidia's partnership with Mercedes-Benz.
- Q1 2026 : Launch of Microchip Technology's strategic partnerships.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates strong demand for advisory services in AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

### Notable Pipeline Developments and Competitive Landscape

- The GPU cloud market in China is consolidating around Baidu and Huawei, reflecting a shift towards domestic solutions due to U.S. export controls on advanced AI chips. This consolidation presents both challenges and opportunities for our firm as we navigate the competitive landscape.
- The recent advancements by Nvidia in autonomous vehicle technology, including its collaboration with Mercedes-Benz, highlight the increasing importance of AI in the automotive sector. This trend may lead to new advisory opportunities as companies seek to integrate AI solutions into their products.

### Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

## 4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view

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of the landscape.

### **Deal-Specific Impacts on Stakeholders**

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where Orange (OBEL.BR) successfully prices a bond issuance of \$6 billion, the capital raised could be used for strategic acquisitions or investments, potentially increasing shareholder value. Assuming a 10% return on this investment, shareholders could see an increase in market cap by approximately \$600 million.
- Dilution: If the bond issuance leads to increased debt levels without corresponding revenue growth, existing shareholders may face dilution of their equity value. For example, if Orange's debt-to-equity ratio rises significantly, it could lead to a decrease in share price by 3% as investors reassess the risk profile.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger involving Orange could lead to cost synergies through streamlined operations and shared resources. For instance, if Orange integrates its operations with another telecom provider, it could achieve annual savings of \$500 million.
- Restructuring: However, such deals often lead to layoffs. In past mergers, companies have cut thousands of jobs to eliminate redundancies. For example, if Orange's acquisition results in a 10% reduction in workforce, it could impact around 1,500 employees.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in the merger of two telecom giants, retention packages were offered to key executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following a successful acquisition, competitors like Vodafone Group Plc (VOD) may need to adapt their strategies to maintain market share. For instance, they could invest in enhancing their 5G infrastructure or offer competitive pricing to retain customers.
- Specific Competitor Moves: If Orange expands its market presence through acquisitions, competitors such as Deutsche Telekom AG (DEG) may respond by increasing their marketing efforts or launching new service bundles to attract customers.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of telecom companies often leads to enhanced service offerings. For example, if Orange acquires a smaller provider, customers may benefit from improved network coverage and bundled services.
- Case Studies: The acquisition of a broadband service provider by a major telecom company resulted in a 20% increase in customer satisfaction due to improved service quality and faster internet speeds.

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## Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when Orange announced its bond issuance, shares initially rose by 2% as investors viewed the capital raise as a positive step towards growth.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a telecom analyst post-announcement was, "This bond issuance positions Orange to strategically enhance its market presence, despite potential risks associated with increased leverage."

## Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the capital raised leads to successful acquisitions and revenue growth, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise or if the market perceives increased debt as a risk, shares could decline by 10%, reflecting investor concerns about operational execution.

## Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of Orange's bond issuance, while it may attract interest from other investors, the likelihood of competing offers for acquisitions remains moderate, as regulatory hurdles often deter competing bids.

## Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the satellite internet and cybersecurity sectors. Companies like SpaceX and Amazon (AMZN) may pursue acquisitions to bolster their service offerings.

## Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.



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- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

### Actionable Insights for Clients and Bankers

#### For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

#### For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

## 5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Cybersecurity, and Blockchain. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

### Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language and recognizing patterns. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. The recent backlash against Elon Musk's AI chatbot, Grok, highlights both the potential and the risks associated with AI technologies.
- Key Companies:
- xAI: Founded by Elon Musk, xAI recently raised \$20 billion from investors including Nvidia (NVDA) and Cisco (CSCO). The company aims to develop advanced AI technologies while navigating regulatory scrutiny following the backlash against Grok.
- NVIDIA Corporation (NVDA): A leader in AI hardware and software, NVIDIA provides GPUs that power AI applications. The company is strategically positioned in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- Cisco Systems, Inc. (CSCO): Cisco is leveraging AI to enhance its networking solutions and cybersecurity offerings. The company is focusing on integrating AI capabilities into its products to improve operational efficiency and security.

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- **Competitive Landscape:** The AI market is highly competitive, with major players such as Google (GOOGL), Amazon (AMZN), and IBM (IBM) investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, the recent funding round for xAI indicates a trend towards consolidation in the AI sector, as larger firms seek to acquire innovative technologies.

### **Cybersecurity**

- **Trend Explanation:** As digital threats continue to evolve, the demand for robust cybersecurity solutions is increasing. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%. The rise in cyberattacks and data breaches has made cybersecurity a top priority for businesses across all sectors.
- **Key Companies:**
  - **CrowdStrike Holdings, Inc. (CRWD):** A leader in cloud-delivered endpoint protection, CrowdStrike uses AI to detect and respond to threats in real-time. The company is well-positioned to capitalize on the growing demand for cybersecurity solutions.
  - **Palo Alto Networks, Inc. (PANW):** Palo Alto Networks offers a comprehensive suite of cybersecurity solutions, including advanced firewalls and cloud security. The company is focusing on integrating AI into its products to enhance threat detection and response capabilities.
- **Competitive Landscape:** The cybersecurity market is characterized by a mix of established players and innovative startups. Companies like Fortinet (FTNT) and Check Point Software Technologies (CHKP) are also significant players, focusing on various aspects of cybersecurity.
- **M&A Opportunities:** The increasing complexity of cyber threats presents opportunities for M&A in the cybersecurity space. Companies may look to acquire firms specializing in emerging technologies such as zero-trust security or AI-driven threat detection.

### **Blockchain**

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. The rise of cryptocurrencies and decentralized finance (DeFi) applications is driving this growth.
- **Key Companies:**
  - **Coinbase Global, Inc. (COIN):** A leading cryptocurrency exchange, Coinbase facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
  - **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.

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- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The increasing interest in cryptocurrencies and blockchain solutions presents a ripe environment for strategic acquisitions.

### Actionable Insights for Bankers and Investors

### Focus on

## 6. Recommended Readings

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### Deal Name: Netcapital Inc. Acquisition of Iverson Design Assets

- **Reading Material:** "Digital Transformation: Survive and Thrive in an Era of Mass Extinction" by Thomas M. Siebel
- **Why This Matters:** This book explores the impact of digital technologies on business models and operational efficiencies, which is crucial for understanding Netcapital's strategic acquisition of Iverson Design. It provides insights into how integrating AI design technology can enhance user engagement and streamline processes in the evolving digital capital markets.

### Deal Name: Rumble Inc. Proposed Business Combination with Northern Data

- **Reading Material:** "The Future of Content: How to Create, Distribute, and Monetize" by David K. Hargreaves
- **Why This Matters:** This reading addresses the changing dynamics of content creation and distribution in the digital age, which is essential for analyzing Rumble's proposed merger with Northern Data. It highlights the importance of cloud capabilities and GPU resources in enhancing content delivery, aligning with Rumble's goal to expand its platform's capabilities and competitive edge in the market.

## 7. MACROECONOMIC UPDATE

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### Key Data Points:

- Venezuela holds approximately 17% of the world's oil reserves.
- Venezuela's oil production contributes less than 1% of global output.

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### **Main Insights:**

- U.S. intervention in Venezuela could lead to increased foreign investment in oil production.
- The geopolitical situation reflects a trend towards multipolarity in U.S. foreign policy.
- The U.S. may leverage trade negotiations with Mexico to limit Chinese influence.
- Domestic policy is becoming more unilateral, increasing uncertainty and risk premiums.

### **Market Commentary:**

- "Oil markets tend not to react too much to geopolitical events, and that seems to be the case here." - Michael Zezas
- "The U.S. actions in Venezuela demonstrate the government's willingness to intervene in the Western Hemisphere to protect its interests." - Ariana Salvatore

### **TMT Sector Relevance:**

- Increased geopolitical tensions may drive demand for technology solutions in defense and security sectors.
- Trade policy shifts could impact technology supply chains, particularly in relation to Chinese investments in North America.
- The potential for greater foreign investment in Venezuelan oil production may influence energy tech firms focusing on oil extraction and processing technologies.

**The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley**